

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

v.

**SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY
KNOWN AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEMS LTD.**

ORDER GRANTING IN PART AND DENYING IN PART MOTION TO DISMISS

I. BACKGROUND.

On May 31, 2017, complainant CMI Distribution, Inc. (CMI) commenced this proceeding by filing a Complaint with the Secretary. CMI alleges that respondents Service by Air, Inc. (SBA), Radiant Customs Services Inc. formerly known as SBA Consolidators, Inc. (Radiant), and LAS Freight System Ltd. (LAS Freight) are non-vessel-operating common carriers (NVOCC) within the meaning of the Shipping Act. (Complaint ¶¶ 2-4, 8.) CMI alleges that “[b]etween April 2014 and June 2015, CMI engaged Respondents to provide transportation of more than 60 shipments . . . with Respondents from China to Illinois.” (Complaint ¶ 6.) CMI attached a spreadsheet to its Complaint listing sixty-two shipments on which it alleged Respondents had charged unlawful demurrage. (Complaint Ex. 1.) CMI alleges that Respondents violated the Shipping Act of 1984 (Shipping Act or Act) on the shipments.

On June 26, 2017, Radiant/SBA filed a motion to dismiss the Complaint with exhibits. Radiant/SBA describe their relationship as follows:

At times material, SBA, located in Bensenville, Illinois, operated as an indirect air carrier.¹ It was never licensed for, and has never participated in, ocean

¹ “*Indirect air carrier* (IAC) means any person or entity within the United States not in possession of an FAA air carrier operating certificate, that undertakes to engage indirectly in air transportation of property, and uses for all or any part of such transportation the services of an air

transportation. At times material, SBA's wholly-owned subsidiary, SBA Consolidators, Inc., operated as a customs brokerage and warehouse operator, and held an FMC-issued ocean freight forwarder license. In or about June 2015, non-party Radiant Global Logistics, Inc. acquired SBA, and by extension, SBA's subsidiary, SBA Consolidators, Inc.

(Radiant/SBA Motion at 1-2.)

CMI filed an opposition to the motion with exhibits and Radiant/SBA filed a reply with exhibits. LAS Freight did not answer or otherwise respond to the Complaint or the motion, but did send a letter to the Assistant Secretary that has been incorporated into the record.

CMI and Radiant/SBA filed a number of bills of lading and Customs and Border Protection (CBP) Forms 3461 with their motion papers that suggested that many of the more than sixty shipments at issue were transported by water from a foreign port to a port in Canada, not the United States. Because the Act defines a common carrier as a person who "uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country," 46 U.S.C. § 40102(6)(A)(iii), it appeared that the Commission did not have jurisdiction over these shipments. Therefore, on August 16, 2017, the undersigned entered an order requiring the parties to respond to several questions and file additional documents. *CMI Distribution, Inc. v. Service by Air, Inc., Radiant Customs Services Inc. (f/k/a SBA Consolidators, Inc.) and LAS Freight Systems Ltd.*, FMC No. 17-05 (ALJ Aug. 16, 2017) (Order to Supplement the Record) (*CMI v. Radiant/SBA*).

In its response to the August 16, 2017, Order, CMI stated:

To the extent that definitive proof is provided that some of the containers were not transported between a port in a foreign country and a port in the United States, CMI does not contend that the Commission has jurisdiction over those shipments.

(CMI's Response to Presiding Judge's August 16, 2017 Order to Supplement the Record at 7.) CMI also stated:

CMI is handicapped in responding to the August 16 Order because, although CMI repeatedly requested back up documentation and shipping records regarding the shipments at issue and the demurrage sought from SBA and SBA Consolidators, Inc., such documentation frequently was not provided. See Declaration of Maria T. Vega at ¶ 8 in support of Opposition to Motion to Dismiss.

(CMI's Response to Presiding Judge's August 16, 2017 Order to Supplement the Record at 2.)

carrier." 49 C.F.R. § 1540.5.

Radiant/SBA filed additional documents related to the transportation of many of the shipments with their response to the Order. Review of these documents suggested that the CMI shipments were transported to the United States in three different ways. It appeared that some shipments were transported by water from a foreign port to a port in the United States, then on to their destinations in the United States. (*See, e.g.*, Radiant/SBA Response to Order to Supplement (filed August 30, 2017), Stoppa Declaration attachment Stoppa0001 (transportation by water to Tacoma, Washington).) It appeared that some shipments were transported by water from a foreign port to a port in Canada, then on to their destinations. (*See, e.g.*, Radiant/SBA Response to Order to Supplement (filed August 30, 2017), Stoppa Declaration attachment Stoppa0004 (transportation by water to a Canadian port, then into the United States by train at International Falls, MN).) It appeared that some shipments were transported by air to a United States airport, then on to their destinations in the United States. (*See, e.g.*, Radiant/SBA Response to Order to Supplement (filed August 30, 2017), Stoppa Declaration attachment Stoppa0045 (transportation by air to San Francisco International Airport).)

Based on this additional information, the undersigned asked the parties to appear for a telephone conference on September 6, 2017. CMI was represented by attorneys Brendan Collins and David Street. Radiant/SBA was represented by attorney Steven W. Block. No attorney or representative appeared for respondent LAS Freight.

After discussion of the three ways it appeared that CMI's shipments were transported to the United States, counsel for CMI and Radiant/SBA agreed that shipments that were transported by water from a foreign port to a port in Canada are not within the subject matter jurisdiction of the Commission. Counsel agreed to confer to attempt to stipulate which shipments, if any, were transported by water to a port in Canada and which shipments, if any, were transported by water to a port in the United States. *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ Sept. 6, 2017) (Order Suspending Date for Responses to Filings in Response to the August 16, 2017, Order to Supplement the Record).

On September 18, 2018, CMI and Radiant/SBA filed a modified Complaint Exhibit 1 identifying eighteen containers on seventeen shipments that they agree were not transported by water from a foreign port to a port in the United States and hence are not subject to Commission subject matter jurisdiction. (Stipulation (filed Sept. 18, 2017) Ex. 1.) The undersigned asked the parties to appear for another telephone conference on September 28, 2017, to clarify the meaning of this agreement. *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ Sept. 21, 2017) (Notice to the Parties and Order to Schedule Conference). During the conference, CMI and Radiant/SBA agreed that the shipments that were not transported by water should be dismissed without prejudice. Therefore, the Complaint is dismissed without prejudice regarding the shipments identified as modified Complaint Exhibit 1 FLDR numbers 4, 12, 14, 15, 18, 20, 22, 23, 24, 26, 28, 30, 34, 39, 45, 55, 56, and 57.

II. RADIANT/SBA MOTION TO DISMISS.

A. Controlling Authority.

A Commission administrative law judge may dismiss a complaint that alleges claims that are not within the Commission's subject matter jurisdiction or fails to state a claim.

Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. *See, e.g., The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (F.M.C.).

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) ("[T]he test of a

complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., 32 S.R.R. 126, 136 (FMC 2011).

In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it . . . [C]ourts will dismiss a claim if the plaintiff's complaint fails to plead ‘enough facts to state a claim for relief that is plausible on its face.’ Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff's claim for relief. Indeed, ‘[w]hile a complaint need not plead ‘detailed factual allegations,’ the factual allegations it does include ‘must be enough to raise a light to relief above the speculative’ and to ‘nudge . . . claims across the line from conceivable to plausible.’ This ‘plausibility standard is not akin to probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.’

Cornell v. Princess Cruise Lines, Ltd. (Corp.), et al, 33 S.R.R. 614, 620 (FMC 2014) (internal citations omitted).

[The Commission] must accept as true the well-pleaded factual allegations of the complaint, draw all reasonable inferences therefrom in [Complainants'] favor, and determine whether the complaint, so read, limns facts sufficient to justify recovery on any cognizable theory. In arriving at this determination, we differentiate between well-pleaded facts, on the one hand, and “bald assertions, unsupportable conclusions, periphrastic circumlocution, and the like,” on the other hand; the former must be credited, but the latter can safely be ignored.

LaChapelle v. Berkshire Life Ins. Co., 142 F.3d 507, 508 (1st Cir. 1998).

Radiant/SBA and CMI submitted additional documents with their motion papers.

When subject matter jurisdiction is at issue, courts are permitted to consider evidence outside the pleadings without converting the motion to dismiss into a motion for summary judgment. *See [Richmond, Fredericksburg & Potomac R. Co. v. U.S., 945 F.2d 765, 768 (4th Cir. 1991)]*; *Coalition for Underground Expansion v. Mineta*, 333 F.3d 193, 198 (D.C. Cir. 2003).

The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District, FMC No. 06-02, 2007 FMC LEXIS 33, *10 (FMC Aug. 2, 2007).

[O]n a [Rule 12(b)(6)] motion to dismiss, a court may consider “documents attached to the complaint as an exhibit or incorporated in it by reference, . . . matters of which judicial notice may be taken, or . . . documents either in plaintiffs’ possession or of which plaintiffs had knowledge and relied on in bringing suit.” Because this standard has been misinterpreted on occasion, we reiterate here that a plaintiff’s *reliance* on the terms and effect of a document in drafting the complaint is a necessary prerequisite to the court’s consideration of the document on a dismissal motion; mere notice or possession is not enough. See [*Cortec Indus., Inc. v. Sum Holding L.P.*, 949 F.2d 42, 47-48 (2d Cir. 1991)].

Chambers v. Time Warner, Inc., 282 F.3d 147, 153 (2d Cir. 2002) (emphasis and ellipses in original) (footnote omitted).

B. Radiant/SBA Motion to Dismiss.

1. Radiant/SBA’s argument.

Radiant/SBA argue:

The Verified Complaint fails and must be dismissed for failure to state a claim for which relief may be granted, and for lack of the Commission’s subject matter jurisdiction over a matter not governed by the Shipping Act, if it is established that no respondent is a “shipping entity.” As the Commission [has] held, “. . . the Commission’s jurisdiction is limited and not without boundaries; it is confined to the authority Congress has delegated to the agency. That delegation of power has never extended to jurisdiction over non-shipping entities.”

(Radiant/SBA Motion at 7, *quoting DNB Exports LLC, and AFI Elektromekanik ve Elektronik San. Tic. Ltd. Sti. v. Barsan Global Lojistik ve Gumruk Musavirligi A.S., Barsan International, Inc., and Impexia Inc.*, 33 S.R.R. 133, 161 (ALJ Jan. 24, 2014).

Radiant/SBA argue that the Commission does not have jurisdiction over them because they did not operate as NVOCCs on the shipments.

“The Shipping Act of 1984 recognized the NVOCC as a legal entity with the status of a shipper in its relationship with an ocean common carrier but the status of a carrier in its relationship with exporter customers. An NVOCC assumes common carrier responsibilities for transportation even though it does not operate the vessels by which the ocean transportation is provided.” “Although NVOCCs usually do not own or operate vessels to actually carry the cargo, they lease facilities and services from other firms-making them the common carriers responsible for transportation of the cargo from origin to destination Thus, unlike an OFF, the NVOCC issues its own bill of lading to each shipper, and the vessel-operating common carrier issues

a bill of lading to each NVOCC.” Accordingly, “a person or entity that provides NVOCC services falls within the ambit of [the Shipping Act] only when it . . . assumes responsibility for the transportation.” Significantly, an NVOCC assumes this responsibility by issuing a bill of lading in its own name at the origin destination, i.e., “NVOCCs . . . ship the container by vessel under a single bill of lading in the NVOCC’s name.”

Thus, the *sine qua non* of an entity operating as an NVOCC is that it issues a bill of lading documenting itself as a carrier of record. An entity that does not issue a bill of lading for the shipment at the origin destination – thus assuming liability for the shipment – cannot be an NVOCC under the Shipping Act. Complainant alleges no basis other than SBA’s purported issuance of bills of lading for its allegation that SBA acted as an NVOCC and “held itself out as an NVOCC.” Thus, in the absence of an operative bill of lading naming SBA as a carrier of record of complainant’s cargo, this action fails on its face, and must be dismissed. As demonstrated above, no respondent issued a bill of lading for the subject transports, and the Commission may consider that submitted bills of lading demonstrate other entities actually did appear as carriers of record. Absent any other suggestion, or even allegation, of circumstances by which the Commission could rule that respondents acted or held themselves out as NVOCCs, this action must be dismissed for lack of subject matter jurisdiction under the Shipping Act, and for failure to state a claim for which relief may be granted.

(Motion to Dismiss at 8-9 (footnotes citing supporting authorities omitted).)

2. Discussion.

As indicated by the citation in the initial decision of the Administrative Law Judge decision in the *DNB v. Barsan* proceeding, the language quoted by Radiant/SBA at page 7 of their motion was a quotation from the brief of respondent Impexia and does not quote a Commission or Administrative Law Judge holding. Neither the Administrative Law Judge nor the Commission used the phrase “shipping entity,” a term not defined by the Shipping Act, as part of the holding in *DNB Exports v. Barsan*.

The issue in *DNB Exports v. Barsan* was whether respondent Impexia operated as an entity governed by section 10(b)(13) of the Act; that is, whether it operated as a common carrier, a marine terminal operator, or an ocean freight forwarder.

Section 10(b)(13) is written to govern the activities of entities regulated by the Commission: Common carriers, marine terminal operators, and ocean freight forwarders. . . . Section 10(b)(13) prohibits common carriers, marine terminal operators, and ocean freight forwarders from disclosing, offering, soliciting, or receiving the information in certain circumstances. The Act governs activities of an

entity operating as a common carrier or ocean freight forwarder as defined by the Act whether or not the entity is licensed by the Commission. Section 10(b)(13) does not govern the activities of entities not operating as common carriers, marine terminal operators, or ocean freight forwarders.

DNB Exports v. Barsan, 33 S.R.R. at 163.

CMI alleges that Respondents violated four sections of the Shipping Act. First, the Act requires that an entity operating as an ocean transportation intermediary (OTI) be licensed by the Commission. 46 U.S.C. § 40901. CMI alleges that respondent SBA operated as an OTI without a license. (*See* Complaint ¶ 32.) Second, the Act provides that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). (*See* Complaint ¶¶ 33-40.) Third, the Act provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (2) provide service in the liner trade that is – (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title.

46 U.S.C. § 41104(2)(A).² (*See* Complaint ¶ 41.) Fourth, the Act provides: “Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. § 40501(a)(1). (*See* Complaint ¶ 42.)

CMI does not allege that Respondents or any Respondent operated as a marine terminal operator or as a conference. CMI alleges that Respondents operated as OTIs on the shipments. The Act defines OTI: “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(19). “The term [NVOCC] means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16). To be an NVOCC, an entity must itself operate as a common carrier.

The term “common carrier – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

² The Complaint cites to section 41104(2)(c). (Complaint Part V.C.) There is no section 41104(2)(c). The language in the Complaint is consistent with section 41104(2)(A).

46 U.S.C. § 40102(6).

The term “ocean freight forwarder” means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(18).

All of the shipments at issue were from a foreign port to a port in the United States. Radiant/SBA correctly state that ocean freight forwarders are only subject to Commission jurisdiction on shipment *from* the United States *to* a foreign port. *Petra Pet, Inc., v. Panda Logistics Ltd., Panda Logistics Co. Ltd., and RDM Solutions, Inc.*, 33 S.R.R. 4, 9 (FMC Oct. 31, 2013) (“A freight forwarder dispatches shipments ‘from the United States.’ 46 U.S.C. § 40102(18). As alleged in the Complaint, RDM dispatched the shipments to the United States from China. Therefore, RDM could not have acted as a freight forwarder for the shipments in question.”) (citation to record omitted). Accordingly, a Respondent that only performed services comparable to ocean freight forwarder service on the shipments has not violated the Act. To prove that a Respondent violated one of the cited section of the Shipping Act, CMI must prove that a Respondent operated as a common carrier/NVOCC on one or more shipments and acted in violation of the section.

Radiant/SBA argue that the Complaint fails to state a claim upon which relief can be granted. Examining the factual allegations of the Complaint without consideration of the documents filed by the parties in connection with the motion to dismiss and construing the complaint in the light most favorable to CMI and accepting all well-pleaded facts alleged in the Complaint as true, (*see* Complaint ¶¶ 6-31), I conclude that the Complaint pleads “‘enough facts to state a claim for relief that is plausible on its face’ [and] sets forth sufficient factual allegations to support [CMI’s] claim for relief.” *Cornell v. Princess Cruise Lines*, 33 S.R.R. at 620.

As discussed above, the parties have filed a number of documents related to the shipments at issue with their motion papers. These documents may be considered in ruling on a Rule 12(b)(1) motion to dismiss for lack of subject matter jurisdiction and on a Rule 12(b)(6) motion to dismiss for failure to state a claim to the extent CMI relied on them in drafting the Complaint. For the purposes of this motion, I assume that CMI relied on the documents in drafting the Complaint and that they may be considered on the Rule 12(b)(6) motion.

Radiant/SBA argue that they cannot be NVOCCs because they did not issue bills of lading for the shipments. They rely on their claim that there are no bills of lading issued either by Radiant or SBA in the documents submitted into the record to this point. The issue is not whether they issued bills of lading, however, but whether they held themselves out to provide transportation by water, assumed responsibility for the transportation by water of the shipments, and used a vessel operating on the high seas between a foreign port and the United States. “[A] common carrier [does

not] lose that status if he uses shipping contracts other than bills of lading or even if he attempts to disclaim liability for the cargo by express exemptions in the bills of lading or other contracts of affreightment.” *Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. 56, 64 (1965), citing *Transportation-U.S. Pacific Coast to Hawaii*, 3 U.S.M.C. 190, 196 (1950).

As noted above, CMI’s Complaint states a claim that Radiant/SBA operated as a common carrier on the shipments. The parties have not submitted all of the documents relevant to the shipments and the record does not contain sufficient information about Radiant/SBA’s services on the shipments to overcome the reasonable inferences drawn from the allegations of the Complaint and to conclude that Radiant/SBA did not operate as a common carrier on the shipments. Therefore, Radiant/SBA’s motion to dismiss is denied.

III. PROCEDURAL MATTERS.

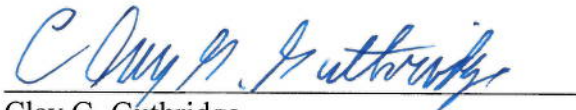
Pursuant to Commission rules, when a motion to dismiss has been denied, an “answer must be filed within 10 days after service of an order denying such motion.” 46 C.F.R. § 502.62(b)(1). Accordingly, Radian and SBA must file an answer or answers on or before October 16, 2017.

The Initial Order requires the parties to “submit a joint status report with proposed [discovery] schedule . . . within twenty days of the service of the answer.” *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ June 1, 2017) (Initial Order). Initial disclosures must be served within seven days of filing of the answer. 46 C.F.R. § 502.141(b). The proposed schedule must require conclusion of discovery within 150 days of the filing of the answer. *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ June 1, 2017) (Initial Order). The parties are encouraged to agree on a schedule that will result in the conclusion of discovery in a shorter period.

ORDER

Upon consideration of the Motion to Dismiss of Respondents Service by Air, Inc., and Radiant Customs Services Inc., the opposition thereto, the record herein, and for the reasons stated above, it is hereby

ORDERED that the motion be **GRANTED IN PART** and **DENIED IN PART**. Claims regarding the shipments identified in modified Complaint Exhibit 1 as FLDR numbers 4, 12, 14, 15, 18, 20, 22, 23, 24, 26, 28, 30, 34, 39, 45, 55, 56, and 57 are **DISMISSED WITHOUT PREJUDICE**. In other respects, the motion to dismiss is **DENIED**.



Clay G. Guthridge
Administrative Law Judge